WATER WARS

India's relationship with the new dispensation will face its first real test this summer, when water-sharing disagreements between the countries are likely to flare up. The BNP's manifesto was explicit on the subject—"Fair share of water from the Padma, Teesta, and all transboundary rivers of Bangladesh will be ensured." This was not just campaign rhetoric: the BNP had in February 2025 organised massive protests in northern Bangladesh demanding a fair share of Teesta waters and the immediate implementation of the Teesta River Master Plan.

For India, the Teesta question remains deeply complicated. A temporary water-sharing arrangement in 1983 allocated 39 per cent of the river's water to India and 36 per cent to Bangladesh, leaving the remainder unallocated. This arrangement, however, was never formalised into a permanent treaty. Negotiations dragged on for decades. A breakthrough seemed possible in 2011, when a draft agreement proposed allocating 37.5 per cent of Teesta waters to Bangladesh during the dry season. But the deal collapsed at the last moment after opposition from Mamata Banerjee, who argued that West Bengal itself faced severe water scarcity and could not afford the proposed distribution.

Since then, the Teesta issue has remained unresolved, a symbol of mutual frustration. During Hasina's reign, China had agreed to fund the Teesta River Comprehensive Management and Restoration Project, adding fresh concern for India. Sources on the Indian side say the current mood favours joint conservation, management and restoration efforts on the Teesta, rather than reopening a zero-sum negotiation over percentages.

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In contrast to Teesta, the Ganges Water Treaty is considered a more achievable starting point. Known as the Padma in Bangladesh, the Ganga is governed by a treaty signed in 1996, which is up for renewal this year. During Hasina's visit to India in 2024, technical teams from both countries were designated to begin negotiations for renewal. Those talks stalled after Hasina's ouster. Indian diplomats point out that the treaty contains a clause allowing both sides to mutually renew it for five years by agreement.

For the BNP, this offers a potential early victory. Renewing the Ganges treaty would allow Rahman's government to demonstrate diplomatic effectiveness to a Parliament that is most likely to remain restive and demanding. "Both should be discussed and mutually settled," says Sreeradha Datta, professor at the Jindal School of International Affairs in O.P. Jindal Global University. "There is no reason for not renewing the Ganga treaty and India not agreeing to undertake the Teesta management project. The overall water-sharing issue can also be discussed. As an upper riparian nation, India understands its responsibilities as well as the concerns."

RAHMAN'S TWIN CHALLENGES

In addition to these issues, Rahman will be hard focused on two other challenges currently plaguing Bangladesh: pulling the economy out of the mire it is stuck in and implementing the referendum on the 84-point reform package that was held alongside the general election. The reform package includes far-reaching changes in the political structure, including greater checks and balances on the prime minister to prevent the excesses seen under Hasina's rule. While the referendum got 68 per cent support, the BNP chose not to swear in the Constitutional Reforms Council, which was to implement the reforms, stating that it must be passed by Parliament first.

While he can duck the reforms council process for a while, Rahman cannot postpone dealing with the economic emergency in his country. Despite Yunus's boast of stemming the economic rot Hasina had left, inflation remains at a high nine per cent, government debt has ballooned to troubling levels, private investments have dropped and provisional data shows that gross domestic product growth slowed sharply to around 3.69 per cent in the 2024–25 fiscal, far below the 6+ per cent plus growth rates Bangladesh sustained for much of the previous decade.

Youth unemployment and spiralling cost of living remain Rahman's most politically explosive challenges. Even with a low official unemployment rate, underemployment among graduates continues to be high. There is frustration over lack of access to stable, merit-based jobs, a key factor in the student uprising 18 months ago. The high prices of essentials—especially food—has eroded purchasing power and sharpened perceptions of inequality and patronage in recruitment and business opportunities.

Rahman, thus, faces a dual test on the economy: restore price stability quickly enough to calm households, while simultaneously accelerating credible job creation. How he delivers on these two fronts will determine whether the faith of the Bangladesh electorate in his leadership is justified. India could play a big role here, by restoring bilateral trade and, as it did in Sri Lanka, funding some of its major infrastructure projects to aid Bangladesh's economic recovery. Rahman's election presents a new opportunity for both countries to start afresh and take India-Bangladesh relations to greater heights in the future and away from the dismal lows of the recent past. ■